

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to
the Interstate Transmission System**

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Docket No. RM26-4-000

**REPLY COMMENTS
OF OLD DOMINION ELECTRIC COOPERATIVE**

Old Dominion Electric Cooperative (“ODEC”) appreciates the opportunity to provide reply comments pursuant to the Notice Inviting Comments issued in the above-referenced proceeding on October 27, 2025, pertaining to the Secretary of Energy’s October 23, 2025, proposed advance notice of proposed rulemaking¹ (“Proposed ANOPR”) made pursuant to section 403 of the Department of Energy Organization Act.

I. INTRODUCTION

As ODEC stressed in its Initial Comments on the Proposed ANOPR,² the Commission should use this opportunity to provide clarity and establish a durable framework for the interconnection of large loads to the transmission system in a manner that ensures reliability. However, the Commission must do so in a manner consistent with the Commission’s statutory responsibility to ensure that the costs associated with accommodating these extraordinary new demands are borne by the new large loads driving them, consistent with cost-causation principles.³

¹ U.S. Dep’t of Energy, Letter from Sec’y Chris Wright to Fed. Energy Regulatory Comm’n (Oct. 23, 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf>. By Notice issued November 7, 2025, the Commission extended the deadline for reply comments to December 5, 2025.

² Old Dominion Elec. Coop., Comments of Old Dominion Electric Cooperative (filed Nov. 21, 2025) (FERC Accession No. 20251121-5343) (“ODEC Initial Comments”).

³ *Id.* at 1, 9, 10-11; *see also, e.g., Sw. Elec. Power Co.*, 39 FERC ¶ 61,099, 61,293 (1987) (citing *Towns of Alexandria v. Fed. Power Comm’n*, 555 F.2d 1020, 1028 (D.C. Cir. 1977); *Mun. Light Bds. v. Fed Power Comm’n*, 450 F.2d 1341, 1348 (D.C. Cir. 1971); *Atl. Ref. Co. v. Pub. Serv. Comm’n of N.Y.*, 360 U.S. 378, 388 (1959); *Fed Power Comm’n v. Hope Nat. Gas Co.*, 320 U.S. 591, 610 (1944)) (“The primary purpose of the [Federal Power Act] is the protection of consumers from excessive rates and charges”); *Midcontinent Indep. Sys. Operator, Inc.*, 191 FERC ¶ 61,231, at P 26 (2025) (citing *KN Energy, Inc. v. FERC*, 968 F.2d 1295, 1300 (D.C. Cir. 1992)) (“ . . .

There is no debate regarding *whether* the Commission needs to act. Further, based on the initial comments submitted in reply to the Proposed ANOPR, there appears to be a consensus that the status quo policies and procedures for interconnecting large loads, or absence of such measures specific to large loads, are insufficient to address the urgent need for a response to the national imperative to integrate emerging, energy-intensive facilities onto the grid, with sufficient resources to serve them while maintaining reliability. In order for the Commission to ensure just and reasonable rates and honor its responsibility for reliability and resource adequacy, the Commission should use this proceeding to provide clarity and a set of policies or principles that must be adopted by transmission providers, with flexibility for regional differences.

As a load-serving entity in the PJM Interconnection, L.L.C. (“PJM”) region, ODEC’s Initial Comments on the Proposed ANOPR focused in part on the PJM Region. Here too, ODEC’s comments below rely on ODEC’s experience in PJM, but raise matters that the Commission should be able to address on a generic basis in a Final Rule. ODEC’s Initial Comments addressed the 14 principles in the ANOPR and will not be repeated here. Instead, ODEC uses this reply to reiterate three key principles that the Commission should ensure as it addresses large load interconnections, in a generic manner in this proceeding as well as individual proceedings that might be initiated by filings under Federal Power Act sections 205 or 206, or on the Commission’s own initiative.⁴ As discussed below, the three principles are as follows: (1) the Commission must act swiftly to provide necessary clarity, adopt generally applicable rules and/or standards, and direct compliance filings; (2) the Final Rule must include specific directives to ensure reliability and resource adequacy; and

pursuant to the [Federal Power Act], costs must be allocated according to the cost causation principle, which requires that ‘all approved rates reflect, to some degree, the costs actually caused by the customer who must pay them.’”).

⁴ See, e.g., *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115 (2025) (instituting a show cause proceeding pursuant to Federal Power Act section 206 against PJM and PJM Transmission Owners).

(3) the Final Rule must adopt requirements to ensure that large loads pay their fair share of the costs.

II. COMMENTS

A. The Commission must act swiftly to provide necessary clarity, adopt generally applicable rules and/or standards, and direct compliance filings.

As the Proposed ANOPR recognized, there is an urgent need for the Commission to address large load interconnections to the transmission system.⁵ This urgency is reflected in comments on the Proposed ANOPR,⁶ as well as in individual proceedings.⁷ For example, NERC expressed its agreement with the DOE that “this is an urgent issue that requires prompt attention.”⁸ In its updated load forecast, PJM noted that the rapid rate of projected large load additions over the next several years raises resource adequacy risk for a transitional period, and requires additional actions.⁹ More specifically, PJM’s 2025 long-term load forecast shows a peak load growth of 32 GW from 2024

⁵ See Proposed ANOPR, Transmittal Letter at 1 (DOE Secretary Wright stated that the issue of large loads being able to connect to the transmission system is “an urgent issue that needs prompt attention.”); Proposed ANOPR at 4 (“According to NERC, demand growth is higher than at any point in the past two decades.”).

⁶ See, e.g., N. Am. Elec. Reliability Corp., Comments of the North American Electric Reliability Corporation in Response to Notice Inviting Comments, at 2 (filed Nov. 21, 2025) (“NERC Initial Comments”) (noting NERC’s activities already underway “to address the urgent need to properly manage the risks associated with growing demand from large load users of the [Bulk Power System] . . .”); Exelon Corp., Comments of Exelon Corporation, at 2 (filed Nov. 21, 2025) (recognizing the “importance and urgency of addressing” electricity demand and the interconnection of large loads) (“Exelon Initial Comments”); Va. State Corp. Comm’n, Initial Comments of the Virginia State Corporation Commission, at 4 (highlighting the demand growth noted in NERC’s 2024 Long-Term Reliability Assessment) (“VSCC Initial Comments”).

⁷ See, e.g., Constellation Energy Generation, LLC, Complaint Requesting Fast Track Processing of Constellation Energy Generation, LLC, Docket No. EL25-20-000, at 11-12 (filed Nov. 22, 2024) (explaining “regulatory uncertainty and challenges” related to co-located data center projects and the need for urgent Commission action); PJM Interconnection, L.L.C., Answer of PJM Interconnection, L.L.C., Docket Nos. EL25-49-000, et al., at 4-5 (filed Mar. 24, 2025) (expressing the need for “Commission guidance on a path forward” regarding co-location arrangements and noting the “important national interested implicated”); Indep. Market Monitor for PJM, Complaint of the Independent Market Monitor for PJM v. PJM Interconnection, L.L.C., Docket No. EL26-30-000, at 10 (filed Nov. 25, 2025) (“PJM markets face an urgent need for immediate clarification of PJM’s authority over the interconnection of large new data center loads”).

⁸ See NERC Initial Comments at 13.

⁹ PJM Large Load Additions Conceptual Proposal and Request for Member Feedback, at 2 (Aug. 18, 2025), available at [20250818-item-03---pjm-conceptual-proposal-and-request-for-member-feedback---presentation.pdf](https://www.pjm.com/commitments-and-contracts/20250818-item-03---pjm-conceptual-proposal-and-request-for-member-feedback---presentation.pdf).

to 2030, of which approximately 30 GW is projected to be from data centers.¹⁰ PJM’s updated load forecast made a “case for action” based on PJM’s expectation that “forecasted supply may be insufficient to meet the expected demand for a transitional period, and we believe action may be necessary to support resource adequacy.”¹¹ PJM proposed several objectives in its Critical Issue Fast Path (“CIFP”) process, including creating “ways for large loads to connect as rapidly as possible and at the same time, determine a plan for how reliability is maintained in case there is a resource adequacy shortfall.”¹² Notably, while the PJM Board initially indicated that a proposal to address rules for interconnecting data centers and other large loads might be filed with the Commission by the end of the year,¹³ no such proposal has been filed to date.

There is a broad and dire call for the Commission to address the press of data center development and perceived delays with large load interconnections, some of which are beyond the control of transmission providers. These challenges persist and will be exacerbated as data center and large load interconnection requests continue to pile up, without clarity and rules to ensure reliability, resource adequacy, and reasonable cost allocation.

Given the urgent need for rules to address large load interconnections, the Commission needs to act quickly to have solutions implemented in any reasonable timeframe. It will likely take more than a year for the Commission’s determinations in this proceeding to be implemented. The DOE Letter anticipates Commission final action on the Proposed ANOPR by April 30, 2026. Any final action in this proceeding should include a requirement for compliance filings. Thus, even

¹⁰ Letter from David E. Mills, Chair, PJM Board of Managers, at 1 (Aug. 8, 2025), available at [20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf](https://www.pjm.com/20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf).

¹¹ *Id.* at 3.

¹² *Id.* at 5.

¹³ *Id.* at 2.

after the Commission issues a Final Rule in this proceeding, it will take time for transmission providers to revise their interconnection processes and provisions as necessary to implement the Final Rule. PJM anticipates that it will need at least 12 months or more additional months after issuance of any final rule and acceptance of compliance filings, to implement any new large load interconnection process. Any rules the Commission promulgates should, therefore, be broad enough to apply to loads already connected and in study processes. Moreover, as ODEC discussed in its Initial Comments, because large loads can be online in at least half the time it takes to bring generation online, and transmission upgrade timelines should be considered, the Final Rule should provide for a transition plan that will address resource adequacy for both system stability and to protect existing customers from shouldering the costs associated with large loads.¹⁴

For all of these reasons, ODEC urges the Commission to act swiftly in issuing a Final Rule that will address the principles contained in the ANOPR and issues raised in comments on the ANOPR. In this regard, ODEC encourages the Commission not to be influenced by parties calling for the Commission to slow down its consideration of these issues or proceed at a pace that does not match the urgency of these matters.¹⁵ “Swift” and “diligent” are not mutually exclusive, and the Commission can – and should – issue a reasoned decision that will provide large loads a way to interconnect with the transmission system and/or through hybrid configurations, in a manner that preserves reliability and resource adequacy, and at rates that are just, reasonable and not unduly discriminatory or preferential. Any such Final Rule should include compliance filing requirements, to ensure continued progress on addressing large load interconnections. Further, to

¹⁴ ODEC Initial Comments at 12.

¹⁵ See, e.g., Ctr. for Biological Diversity, Reply Comments of the Center for Biological Diversity, at 31 (filed Dec. 4, 2025) (suggesting that the rulemaking on these issues should be “deliberate, not rushed” and urging the Commission to “prioritize thoughtful deliberation over meeting the DOE-requested deadline of April 30, 2026 for finalizing reforms to expedit large-load interconnection.”).

hopefully mitigate against unintended adverse consequences and challenges in implementing the Final Rule, the Commission should provide flexibility to accommodate regional differences, provided transmission providers demonstrate compliance that is consistent with or superior to the requirements of the Final Rule.

B. The Final Rule Must Include Specific Directives to Ensure Reliability and Resource Adequacy

As ODEC and others discussed in their Initial Comments, the Final Rule in this proceeding must ensure that reliability of the transmission grid remains uncompromised as unprecedented large loads are integrated. ODEC reiterates its agreement with ANOPR Principle 14 and urges the Commission to adopt a requirement in the Final Rule that utilities serving large loads must meet all applicable NERC reliability standards and OATT provisions, as well as require large loads to be registered with NERC and require NERC to enhance its existing registry criteria and Reliability Standards and create new Standards as required to address the operational complexities that large loads introduce to the grid.¹⁶

In order to ensure reliability of the Bulk Power System (“BPS”) consistent with the Commission’s statutory obligation,¹⁷ ODEC supports NERC’s request that the Final Rule reflect the full scope of NERC’s reliability authority as pertaining to the BPS.¹⁸ This should include NERC’s authority to regulate resource adequacy and reliability as applied to users, owners and operators as needed to ensure reliability of the BPS.¹⁹ Given the critical and paramount need to ensure reliability as large loads impact the operation of the BPS, the Final Rule in this proceeding

¹⁶ ODEC Initial Comments at 12-13.

¹⁷ Federal Power Act Section 215, 16 U.S.C. § 824o (2024).

¹⁸ NERC Initial Comments at 8-12.

¹⁹ *Id.*

should direct NERC to complete its stakeholder coordination activities to explore revisions to the registry criteria and Reliability Standards that would incorporate large loads impacting reliable operation of the BPS, and resource adequacy requirements for the Reliability Coordinator. NERC should submit a report to the Commission within a specified period (e.g., one year after issuance of the Final Rule) together with a timeline for submission of any additional registry criteria and/or Reliability Standards.²⁰

ODEC also agrees that the Final Rule must provide for continued resource adequacy.²¹ We will not wade into the debate over federal-state jurisdiction to preserve resource adequacy.²² Instead, ODEC urges the Commission to exercise the full extent of its authority, respect the states' role and jurisdiction over resource adequacy, and provide clarity in these roles,²³ as well as the role of RTOs/ISOs in preserving resource adequacy. For example, the Final Rule should recognize that interconnecting large loads that will result in partial or full suspension of an existing resource raises different and more concerning impacts than a load interconnection with a

²⁰ See *id.* at 12-17.

²¹ See Nat'l Rural Elec. Coop. Ass'n, Comments of the National Rural Electric Cooperative Association, at 4 (filed Nov. 21, 2025) (quoting NERC's Reliability Issues Steering Committee's 2025 ERO Reliability Risk Priorities Report that cautions, "Failure to address the integration of large loads from a policy perspective could exacerbate the reliability considerations associated with energy sufficiency and resource adequacy challenges."); Org. of PJM States, Inc., Initial Comments of the Organization of PJM States, Inc., at 11 (noting that in addition to ensuring that the final action in this proceeding not degrade overall system reliability, "just as importantly it will be necessary for the Commission to consider how reliability and resource adequacy will be maintained if load is added to the system but not balanced with new generation."); VSCC Initial Comments at 4 ("Absent well-developed policy regarding this load growth, states would face real resource adequacy constraints that imperil service to customers.").

²² See Org. of MISO States, Inc., Initial Comments of the Organization of MISO States, Inc., at 4 (filed Nov. 21, 2025) ("A fine line should be parsed (if possible, here) to ensure the stated objectives of the ANOPR are paired with ensuring states maintain reliability and preserve resource adequacy . . ."); PJM Interconnection, L.L.C., Initial Comments of PJM Interconnection, L.L.C., at 1 (filed Nov. 21, 2025) ("PJM is committed to continued engagement with its stakeholders in industry, the states, and at the federal level to collaboratively tackle resource adequacy challenges and related large load interconnections in the PJM Region.") ("PJM Initial Comments").

²³ See PJM Initial Comments at 2, 9 (encouraging the Commission to issue "nearer-term regulatory guidance" on resource adequacy, among other matters, and suggesting the Commission assess whether hybrid configurations are resource positive or, at a minimum, resource neutral.).

build-your-own generation arrangement that includes new generation. The former arrangement will siphon resources away from the very loads that have financially supported the existing generation, at a time when resource adequacy is already severely threatened. The Commission should take measures to protect against such an outcome. At the very least, ODEC supports the ANOPR proposal in Principle 10, to require a system support resource/reliability must run type study for partial suspension of existing generators to serve new loads at the same location. In PJM, the Necessary Studies process may not adequately consider resource adequacy impacts where an existing generator will be partially suspended to serve new loads at the same location. Finally, on this issue, ODEC encourages the Commission to require RTOs and ISOs to submit proposals to maintain reliability and resource adequacy with large load interconnections, including hybrid configurations.

C. The Final Rule Must Adopt Requirements to Large Loads Pay their Fair Share of the Costs Incurred to Serve Them

ODEC agrees with NRECA that “to keep rates affordable to consumers, it is imperative that large loads pay their own way when interconnecting directly with the interstate transmission system.” Consistent with principles of cost causation and as far as the Commission’s jurisdiction allows, the Commission must also require measures to ensure that large loads in hybrid configurations are responsible for all of the costs caused by their interconnection. This will require the Commission to require that all costs associated with transmission upgrades and facilities caused by the large load interconnection must be allocated to the large load or, as necessary, the FERC-jurisdictional entity serving the large loads. ODEC agrees with comments that the Commission will need to consider whether direct assignment of the costs for specific transmission necessitated by the large load interconnection is consistent with cost causation principles or, instead, whether the reasonable cost allocation is to include large loads in a pool of entities that are assigned costs

related to upgrades on broader transmission network or some combination of the two. The latter approach would cover the costs that are caused by large loads beyond their immediate interconnection, including ongoing maintenance²⁴ and the maintenance on the overall transmission system.

ODEC also agrees that to ensure just and reasonable cost allocation for the unique circumstances posed by large loads that can have significant impacts on transmission reliability and resource adequacy, the Commission may need to revisit the necessary agreements for large load interconnection. Utilities and transmission owners have developed agreements with large loads customers that will maintain cost-causation principles while protecting other wholesale and retail customers from cost-subsidizing the large loads.²⁵ ODEC encourages the Commission to require a review of existing agreements in order to ensure that they are accommodating the unique challenges and costs associated with large loads in a manner consistent with principles of cost causation. At the very least, the Commission should resist efforts by large loads and those who will profit from large loads, against agreements tailored to the unique and significant cost impacts caused by service to large loads.²⁶

²⁴ See Exelon Initial Comments at 10-11.

²⁵ See Indicated PJM Transmission Owners, Comments of the Indicated PJM Transmission Owners, at 15-16 (filed Nov. 21, 2025).

²⁶ See Constellation Energy Generation, LLC, Supporting Comments of Constellation Energy Generation, LLC, at 18 (filed Nov. 21, 2025) (Constellation contends that Transmission Owners leverage their control over interconnection in the negotiation of Transmission Service Agreements. While ODEC certainly supports non-discriminatory provision of services and believes that consistent standards will go a long way in preventing undue discrimination, ODEC also believes that the status quo agreements may not be sufficient to address fair cost allocation for large loads.).

III. CONCLUSION

WHEREFORE, for the foregoing reasons, ODEC urges the Commission to adopt an approach that aligns cost responsibility with cost causation, protects incumbent customers, and advances reliability as its foremost obligation. ODEC appreciates the Commission's consideration of its Initial Comments and these Reply Comments.

Respectfully submitted,

/s/ Adrienne E. Clair

Adrienne E. Clair

Jenna Cliatt

Thompson Coburn LLP

1909 K Street, N.W., Suite 600

Washington, D.C. 20006-1167

(202) 585-6900

(202) 585-6969 (fax)

aclair@thompsoncoburn.com

jcliatt@thompsoncoburn.com

*Attorneys for Old Dominion Electric
Cooperative*

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CERTIFICATE OF SERVICE

I hereby certify that on this 5th day of December 2025, I have caused a copy of the foregoing to be served upon each party designated on the Commission's Official Service List for this proceeding.

/s/Adrienne E. Clair